

PG70 003-1922

857

Current Policy

Direct No. 21

DECLASSIFIED

November 1986

United States Department of State
Bureau of Public Affairs
Washington, D.C.

DEPARTMENT OF STATE A/CDC/MR

REVIEWED by

Date

() RELEASE () DECLASSIFY
() EXISE () DECLASSIFY in PART
() DENY () DELETE
() Non-responsive info.

FOI, EO or PA exemptions
TS authority to:
() CLASSIFY as G, OADR
() DOWNGRADE TS to () S or () C, OADR

Following are excerpts of key statements from selected Current Policy texts released in November 1986. These excerpts are intended to illustrate some of the basic policy issues covered, not to provide a comprehensive summary of each statement. Free single copies of the full text of the excerpted speech or congressional testimony may be obtained by calling the Department's Public Information Service at 202-647-6675.

Contents

Human rights: Shultz	1
Reykjavik meeting: Shultz	1
Foreign affairs budget: Shultz	2
Foreign policy: Armacost	2
ABM Treaty: Nitze	3
Civil nuclear power: Negroponte	3
African human rights: Freeman	4
U.S.-EC relations: Wallis	4
Iran: Rengan	5
Inter-American cooperation: Shultz	5
Human rights: Shultz	6
Arms control: Shultz	6
Third World: Armacost	7
East Asia/Pacific: Sigur	8

No. 882—Human Rights and Soviet-American Relations Secretary Shultz before the Los Angeles World Affairs Council, Los Angeles, California, October 31, 1986 (4 pp.)

... In the nuclear age we must seek to resolve our differences with the Soviet Union through negotiations. Yet we know that the Soviets behave in ways that are repugnant to us and that violate our standards of human conduct. We obviously cannot say that until everything is settled with the Soviets, nothing can be settled with them. But we can and do say that until there is substantial Soviet progress in the vital area of human rights, advances in other areas of the relationship are bound to be constrained.

When you look at the Soviet human rights situation in its totality... only one conclusion is possible: the Soviet Union regularly violates international human rights commitments—including the Universal Declaration of Human Rights and the Helsinki accords... which it is a party. It does not observe the legal procedures and ethical values developed by civilized societies. And it does not extend equal protection of the law to all its citizens. The Soviet state remains profoundly repressive, despite its attempts to show a more modern, humanitarian face to the world.

In dealing with this fundamental fact, we must be realistic. We can take cautious encouragement from the fact that the new Soviet leadership—for whatever reasons—has taken steps that we can welcome. It is possible that our

policies we have been pursuing have helped to create the environment in which these new developments are taking place. In any event, we in the West must maintain our pressure on the Soviet Union. We must continue to insist that nothing short of significant, sustained progress on human rights will satisfy us. We must make certain that all the democracies—not just a few—maintain this pressure. We all share a concern over Soviet human rights abuses, and we must show it. The Soviet authorities will have no incentive to change if they believe we do not care.

If we in the West are ever going to develop constructive relations with the Soviet Union, they will not come by shunning contact. On the contrary, we must take advantage of the new style of Soviet diplomacy to expose Mr. Gorbachev, his associates, and the Soviet people to the depth of our revulsion at Soviet human rights abuses. We must make use of every channel we can, of every forum that presents itself, to get the Soviet leadership to acknowledge the reality that less repression at home is the key to greater acceptance abroad.

No. 883—Reykjavik: A Watershed in U.S.-Soviet Relations

Secretary Shultz before the Commonwealth Club, San Francisco, California, October 31, 1986 (3 pp.)

At Reykjavik... there was a qualitative shift in the terms of debate. For the first time in the long history of arms control talks, a genuine possibility of substantial

...decisions in Soviet and American nuclear arms appeared. For the first time, we have to begin to deal seriously with the implications of a much less nuclear, if not non-nuclear, world. We have begun to discuss with the Soviets a policy of deterrence, one based less on the threat of mutual annihilation. And the key to all of this has been the President's research program, whose investigation into defenses against nuclear ballistic missiles is our best insurance policy for a more secure future.

...this evening is a fitting moment to review the lessons of how we got to Reykjavik, what happened there, and how we should next proceed.

I would divide those lessons into three parts. The first lesson is that the negotiating progress we achieved at Reykjavik was built upon a broad base of American and allied strength and resolve. It was the result of literally years of effort.

The first few years of this Administration were a period of rebuilding so that we could be in a stronger position to go forward. That meant reinvigorating our economy, restoring our military strength, and repairing our alliance ties with our friends in Europe, Asia, and elsewhere. It involved a lot of unspectacular but vital spadework.

It was the sum of these policies, based on strength and realism, that enabled the President to propose, in January 1984, a more intensive dialogue with Moscow. The Soviets were faced with an America confident in its renewed strength and an alliance united in its support of common objectives. They slowly came to drop their earlier policies of walkouts and stonewalling. They returned to the negotiating table. The resulting process of high-level dialogue led to last year's Geneva summit and the Reykjavik meeting earlier this month.

Which leads me to the second lesson—that of the central importance of human rights in the U.S.-Soviet relationship.

Arms control agreements cannot be truly successful in guaranteeing a more secure peace when one of the signatories continues to violate human rights. When justice is violated and when freedom is denied, then the potential for distrust and conflict inevitably grows between nations.

It's important that we continue to press Soviet authorities on specific human rights problems on every appropriate occasion. The Soviet leadership needs to hear the message from Americans that condoning Soviet abuses can only jeopardize efforts to make progress in all areas of U.S.-Soviet relations.

The third lesson goes back to a presentation I made 2 years ago to the just-established Rand/UCLA Center for the Study of Soviet International Behavior. Back then, I noted the special problems that we face in managing a sustained and productive relationship with the Soviet Union when we are likely to be confronted periodically with outrages and threatening behavior.

Given the totalitarian and expansionist nature of the Soviet system, we aren't surprised—although we are, always distressed—when events arise like the invasion of Afghanistan, the Korean Air Lines shoot-down, or Nick Daniloff's frameup. We have to deal firmly with each instance of unacceptable Soviet behavior. The challenge for the policymaker is to confront and manage such crises on their own terms, without sacrificing other important areas of interest to the United States.

Where do we go from here? For our part, we are eager to pursue the promise of Reykjavik. Our negotiators in Geneva are picking up where the two leaders left off on nuclear and space issues. We are also ready to begin negotiations on verification improvements to existing nuclear testing agreements and, eventually, on further limitations on nuclear testing in step-by-step fashion in parallel with further reductions in nuclear forces.

No. 884—Restoring the Foreign Affairs Budget

Secretary Shultz before the Locust Club, Philadelphia, Pennsylvania, November 3, 1986 (4 pp.)

My message tonight is simple: right now the United States has a tremendous number of things going for it around the world—we have a winning hand; we've got to be allowed to play it—yet, we're on the verge of throwing away recent and potential gains instead of building on them for the future.

Last January, President Reagan submitted to Congress an international affairs budget for fiscal year (FY) 1987 that we stripped to the bone. It amounted to less than 2% of the total Federal budget. That minimal request was cut by the Congress by 20%, a reduction with far more threatening effects than even that substantial percentage implies. After congressional earmarking and other constraints on our spending are taken into account, the bulk of our foreign affairs operations will have to be cut by a third and security assistance by about 50%. That's a big cut.

Let me be clear about the dangers of this misguided economizing. We are not talking about just another bureaucratic battle for funds. The deep cuts in our foreign affairs resources are now dangerously widening the gap between our interests and our capabilities for pursuing them. In effect, we are being asked to play Russian roulette with our international interests and our national security.

The serious mismatch between our policies and our resources creates vacuums that others can—and will—exploit to their own advantage. And it encourages confusion among friends and adversaries alike about the scope and aims of American policy.

The disturbing fact is that we've seen all this before; yet apparently we have forgotten the lessons of the 1970s. But today's pressures for withdrawal add up to isolationism with a dangerous difference. For just as America's power in the postwar world has grown at an exponential rate, so too have the risks of indifference.

No. 885—U.S. Foreign Policy Achievements and Challenges

Under Secretary Armacost before a State Department regional foreign policy conference, Salt Lake City, Utah, October 18, 1986 (4 pp.)

...not many years ago, democratic nations were thought to be a dwindling minority; democracy was thought to be a unique and distinctive attribute of Western industrial culture. Today, the vitality of the democratic idea is one of the most important political realities of our time, and America is firmly committed to its advance and

DECLASSIFIED

The movement toward democracy has been matched by a growing commitment to market economics. The reasons are obvious. Economies dominated by the public sector simply did not produce. The small limited government intervention and expanded the interplay of market forces have achieved remarkable results.

Both these trends—toward democracy and the market system—owe much to America's example and American power. The single biggest extension of democratic liberties in recent memory occurred at the end of World War II when American power was at its zenith. It is no coincidence that respect for our values has grown in recent years as we have renewed the sources of our military, economic, and political power in the world.

Too often in discussions of foreign policy in this country, people seem unprepared to face up to the ambiguity of many external situations and the necessity of pursuing a complex two- or three-track strategy of our own. In dealing with the Soviets, for example, we must compete aggressively even as we explore for wider areas of cooperation.

In dealing with regional conflicts, we must be prepared to support our friends even as we keep the door open to negotiated solutions. In dealing with complex political and moral issues, we must remember that the test of policy is less the goodness of our intentions than the results of our actions. In a democracy we know that a successful policy requires not only a sensible concept and steady implementation but public understanding and support.

No. 886—Permitted and Prohibited Activities Under the ABM Treaty

Paul H. Nitze, Special Adviser to the President and the Secretary of State on Arms Control Matters, before the International Law Weekend Group, New York City, October 31, 1986 (2 pp.)

In Reykjavik, substantial differences between the United States and the Soviet Union over Soviet-proposed restrictions going beyond those of the ABM Treaty prevented progress toward agreement on a comprehensive

framework for a predictable and stable arms control regime. The United States believes that both sides should adhere to the ABM Treaty as currently formulated. Specifically, the United States does not accept limitations on development and testing activities going beyond those provided by the treaty.

In contrast to the U.S. position, the Soviets proposed in Iceland to modify the ABM Treaty to confine to the laboratory research and testing on any space elements of space-based systems. The Soviets intended to impose constraints on our SDI research program far more severe than those imposed even by the "narrower" interpretation of the ABM Treaty. Such additional constraints would kill the SDI program. The President could not accept this.

The United States calls upon the Soviet Union to recognize that its proposal would impose constraints that have no basis or justification in the ABM Treaty. We must reject Soviet attempts to amend the ABM Treaty indirectly by reopening questions of permitted and prohibited activities under the treaty. The Soviet Union must understand that the United States opposes restrictions on development and testing beyond those that were negotiated, agreed, and codified in the ABM Treaty.

With such an understanding, we can move forward toward a comprehensive, stabilizing agreement on a future arms control regime providing for defensive research and testing, strategic offensive reductions, and a jointly managed transition to greater reliance on defenses.

No. 887—International Prospects for Civil Nuclear Power in the Post-Chernobyl Era

Assistant Secretary Nyrkova before the Rotary Club of Detroit, Detroit, Michigan, November 5, 1986 (4 pp.)

The months since Chernobyl have been a time for critical reflection on nuclear power safety, both within the United States and within the international community. From the very outset, the United States took a leading role in prodding the Soviet Union to fulfill its international responsibilities by following up its initially quite meager and delayed account of the accident with a full and complete disclosure of the facts. I am pleased to say that the Soviets themselves soon recognized the wisdom of this course and their subsequent report to a specially convened meeting

of international experts at the International Atomic Energy Agency (IAEA) in Vienna, August 25-29, was notably open and forthcoming. I should add that we have deliberately resisted any temptation to make political capital from the Soviets' misfortune and, in fact, have offered our assistance on a number of fronts.

The United States was also instrumental in mobilizing efforts under International Atomic Energy Agency auspices to put in place procedures for dealing with possible similar accidents in the future.

In early May, therefore, while events at Chernobyl were still unfolding, the United States and its allies called for a special meeting of the agency's Board of Governors, which in turn commissioned a group of government experts to draft two international conventions: one providing for the early notification of nuclear accidents with transboundary effects and the dissemination of comprehensive information concerning them; the other providing a framework for coordinating international assistance, including emergency response measures, in the event of such accidents. These two conventions on notification and on assistance were drafted, submitted to a special session of the agency's General Conference, adopted, opened for signature, and signed by over 50 states by the end of September—a near-record pace by the usual standards for activities in international bodies.

The International Atomic Energy Agency and the Nuclear Energy Agency of the Organization for Economic Cooperation and Development in Paris have longstanding programs aimed at establishing safe nuclear design, engineering, and operating standards on a universal basis. The U.S. nuclear industry is pursuing similar work through its Institute for Nuclear Power Operations in Atlanta—an effort that has drawn the active participation of a number of foreign reactor operators. The U.S. Nuclear Regulatory Commission has a well-established program of cooperation with other countries in the exchange of information relating to nuclear safety. Bilateral agreements on nuclear safety cooperation exist with 37 nations.

The United States has also launched an initiative aimed at creating a nuclear safety training academy, organized as a nonprofit foundation and based on joint industry and government participation.

...and we will live in the
...and drug smugglers major
...economic growth, the
...and their children. But our
...cooperation supports the
...East, Cuba, and Nicaragua.

...of the challenge—alone or in
...the future, the great prog-
...have achieved. But we cannot
...them if we are divided. Unless
...in common battle against
...common foes, we will not be successful
...in defending our vital interests and our
...shared ideals.

No. 892—Pursuing the Promise of Helsinki

Secretary Shultz before the Review
Meeting of the Conference on Security
and Cooperation in Europe,
Vienna, Austria, November 5, 1986
(4 pp.)

I have come to Vienna to reaffirm the
determination of the United States to
work energetically and in concert with
our friends in support of the full
implementation of the principles of the
Final Act. They are the basis of our own
policies. The American people fully support
the objective of a reunified, free, and
independent community of European
nations, East and West. We are committed
to that goal, and not as outsiders.
For as Europe's heirs and children, we
share and participate in the aspirations
as well as the responsibilities of Europe,
Europe and America are bound together
by ties of history, family, broad common
interest, and shared values; we can
ignore the importance and strength of
these ties only at our peril.

Today, the United States expresses its
commitment to Europe in many forms.
Our active participation in CSCE is one
of them. We believe that we have a
positive and important role to play in the
accomplishment of CSCE's objectives.
We will neither forsake nor diminish
that role.

The American people believe in the
principles of freedom and openness set
forth in the Final Act. We are confident
in the vitality of our democratic values,
and we are proud to test them in open
peaceful competition with other values.
But we do not attempt to force our
beliefs on others, nor can we accept the

claim of some governments to an
inherent superiority. We respect the
inherent diversity of other societies. But
we cannot ignore the actions of govern-
ments which deny their people funda-
mental human rights. We do not seek
military superiority for ourselves, but
we can never give the claim of others
to a right of so-called equal security,
which has the result of creating insecurity
for their neighbors.

The United States is committed to the
goal of strengthening stability and
security in the whole of Europe. We
believe that this objective can be pro-
moted through increased openness and
the establishment of a verifiable, com-
prehensive, and stable balance of con-
ventional forces at lower levels. Last
May, the NATO foreign ministers
recognized the importance of this task.
Together with our allies, we are examin-
ing how best to achieve the goals set
forth in our Halifax statement on con-
ventional arms control.

But arms control cannot exist as
process in isolation from other sources of
tension in East-West relations. If arms
control measures are to make a mean-
ingful contribution to stability, they can
only reinforce, never supplant, efforts to
resolve more fundamental sources of
suspicion and political confrontation.
Nowhere does the problem of distrust
and division between East and West
have greater meaning than in the con-
text of Europe.

The commitments of the Final Act strike
a necessary balance among the related
problems of military security, political
confidence, economic cooperation, funda-
mental human rights and freedoms, and
contacts among people. It is important
that we keep that balance. We should
welcome and encourage progress in all
of these areas, but we should not
imagine that any single element alone is
sufficient to carry the whole. A failure
on our part to pursue the full implemen-
tation of the Final Act—our acquiescence
in selective adherence to the commit-
ments—would undercut further efforts
to secure a more stable peace. Inpa-
tience with the difficulties of securing
compliance should not drive us into suc-
cessive new negotiations for their own
sake. We must resist the notion that
consensus-building requires compromises
that would distort or deny the right
promised by the Final Act. Escape from
the violation of existing commitments
cannot be found in the flight to new
commitments.

No. 893—Nuclear Weapons, Arms Control, and the Future of Deterrence

Secretary Shultz before the Inter-
national House of Chicago and the
Chicago Sun-Times Forum at the
University of Chicago, Chicago,
Illinois, November 17, 1986 (8 pp.)

...we may be on the verge of important
changes in our approach to the role of
nuclear weapons in our defense. New
technologies are compelling us to think
in new ways about how to ensure our
security and protect our freedoms.
Reykjavik served as a catalyst in this
process. The President has led us to
think seriously about both the possible
benefits—and the costs—of a safer
strategic environment involving pro-
gressively less reliance on nuclear
weapons. Much will now depend on
whether we are far-sighted enough to
proceed toward such a goal in a realistic
way that enhances our security and that
of our allies.

It may be that we have arrived at a
true turning point. The nuclear age can-
not be undone or abolished; it is a per-
manent reality. But we can glimpse now
for the first time, a world free from the
incessant and pervasive fear of nuclear
devastation. The threat of nuclear con-
flict can never be wholly brushed, but it
can be vastly diminished—by careful but
drastic reductions in the offensive
nuclear arsenals each side possesses. It
is just such reductions—not negotiations in
expansion but reductions—that is the
vision President Reagan is working to
make a reality.

Such reductions would add far
greater stability to the U.S.-Soviet
nuclear relationship. Their achievement
should make other diplomatic solutions
obtainable and perhaps less costly; the
distrust and suspicion that have
stimulated the felt need for such
weapons. Many problems will accompany
drastic reductions: problems of deploy-
ment, conventional balance, verification,
multiple warheads, anti-chemical
weapons. The task ahead is great but
worth the greatest of efforts.

At Reykjavik, the President and the
General Secretary went on to discuss
possible further steps toward enhancing
stability. The President proposed to
eliminate all ballistic missiles over the
subsequent 5 years. Mr. Gorbachev pro-
posed to eliminate all strategic offensive
forces. They talked about these and
other ideas, including the eventual
elimination of all nuclear weapons. The

02110507030

...take about it... required if we are to... agreement on... reductions.

But to depend on a need to reduce nuclear weapons is only to increase the risks of conventional war or, more likely, of political confrontation through the threat of nuclear attack. Therefore, a central task will be to establish a stable conventional balance as a necessary corollary for any less nuclear world.

How would a less nuclear world, one in which ballistic missiles have been eliminated, work? What would it mean? It would not be the end of nuclear deterrence for the West. With a large inventory of aircraft and cruise missiles, the United States and NATO would retain a powerful nuclear capability. In a sense, there would be no return to the situation of the 1950s, when strategic bombers served as our primary nuclear deterrent force. But there would be an important difference in the 1980s and beyond. Our aircraft would now be supplemented by a host of new and sophisticated technologies as well as cruise missiles launched from the air and sea. It would be a much more diverse and capable force than in previous decades.

In such circumstances, both the United States and the Soviet Union would lose the capability provided by ballistic missiles to deliver large numbers of nuclear weapons on each others' homelands in less than 30 minutes time. But Western strategy is, in fact, defensive in nature, built upon the pledge that we will only use our weapons, nuclear and conventional, in self-defense. Therefore, the loss of this quick-kill capability—so suited to preemptive attack—will ease fears of a disarming first strike.

For our friends and allies in Europe and Asia, the elimination of Soviet ballistic missiles—including not just the Soviet Union's strategic ballistic missiles and its many SS-20s but also the shorter range missiles for which we currently have no deployed equivalent—would remove a significant nuclear threat.

But dramatic reductions in nuclear weapons, and the establishment of strategic conventional defenses will

...alliance effort. In this... the... in a... world... To my... of process of joint... for the alliance, particularly since we remain firmly agreed on the basics—the alliance's fundamental principle of shared risks and shared burdens on behalf of the common defense.

All of these steps—deep reductions of nuclear weapons, a strong research program in strategic defense, improvements in conventional defenses, and negotiations with the Soviet Union and Warsaw Pact—will have to be closely synchronized. This will require a carefully coordinated political strategy on the part of the alliance to deal with these interrelated aspects of the larger problem of stability and Western security.

No. 894—U.S. Policy toward the Third World *Under Secretary Armbrast before the National Third World Studies Conference, Omaha, Nebraska, October 17, 1986 (4 pp.)*

...while the Third World may share some common perceptions, by and large, it is a highly differentiated group of countries with which we should cultivate strong bilateral ties. Brazil, Argentina, and Mexico in Latin America; Egypt, Israel, and Jordan in the Middle East; key oil-producing states in the Gulf; India and Pakistan in South Asia; Nigeria, Zambia, and Zaïre in Africa; South Korea, China, and the ASEAN [Association of South East Asian Nations] countries in Asia are only the most obvious of the Third World countries whose size, location, resources, economic power, military potential, and capacity for effective action invite special attention from the United States. There are scores of others. We are devoting much attention to this task.

One favorable global trend is the unfolding of an extraordinary movement toward democracy around the world.

We have an opportunity to nurture and expand this drive toward democracy. Not many years ago, democratic nations were thought to be a dwindling minority. Today, the vitality of democratic institutions is one of the most important problems

...realities of our time, and American power and influence are firmly committed to its support and advancement.

Similarly, our commitment to market forces as the key to economic development has found increasing resonance in the Third World. Nothing invigorates the global economic system today more than the powerful economic recovery that has been underway in the United States for nearly 4 years. Success invites emulation. Many Third World countries are abandoning the economic dogmas of the immediate postcolonial period. There is a growing recognition of the connection between individual initiative and economic progress—a growing realization that the talents of individual human beings are the greatest resource a society can bring to the tasks of national development.

Our ideas are taking hold. Thus, there are very important opportunities.

It is ironic that, at a time when global trends favor us and we have opportunities to pursue more constructive relations with Third World countries, pressures are mounting within our country to turn our backs on the world.

We are the largest free market on earth. Our open trading policies confer tangible economic benefits on the American people; they have also provided vast opportunities for our trading partners. Yet America's large trade deficit is now stimulating new calls for protectionist legislation. Not since the days of Smoot-Hawley have protectionist forces been as powerful as they are today. If enacted, protectionist measures would endanger the new democracies, the poorer countries burdened by debt, and many key friends around the world. Here at home we will feel the results in higher prices and diminished efficiency. In today's interdependent global economy, our prosperity and that of other nations are mutually dependent as never before.

A second development that will constrain U.S. policies toward the Third World at an important time of opportunity is the reduction of our foreign affairs budget by the Congress. If enacted, these reductions and the corresponding marking of aid levels to a few countries will severely impair our ability to protect important U.S. interests in Sub-Saharan Africa, Central and South America, the Caribbean, and East Asia. They would seriously cut our funding for the multilateral development banks, which are critical to Third World economic recovery and growth. They would reduce our leverage for real reform

*U.S. Approach to
East Asia and the Pacific*

*Speech by Secretary of State George Shultz before a
Joint Session of the U.S. National Security
Council in Asia and the
Pacific, July 28, 1986" sponsored by
the Pacific and Asian Affairs Council and the Pacific Forum, Honolulu,
Hawaii, October 29, 1986 (4 pp.)*

... I want to address... those basic principles which guide and direct U.S. policy in the Asian and Pacific region today. They are five, of course, from certain elementary but central policy objectives: security and stability for the nations of the area are top priorities for all concerned, and we will do what is appropriate and necessary to nurture these goals. The United States wants to help promote regional prosperity, social advancement, and political modernization within our limited means to do so. And we seek to facilitate multilateral cooperation, not simply as an end in itself but as an effective means for moving promptly toward the other goals which we and the Asian-Pacific nations share.

... based upon genuine respect for the interests and prerogatives of the people of the Asian-Pacific region. We do not seek, and we would not attempt, to interfere in the internal affairs of these peoples or to dictate their policy decisions. This Administration approaches these relationships with a degree of sensitivity and responsiveness which fully acknowledges the sovereign status of the nations of the area. We believe we have much to offer the developing states of the region and are willing to provide advice and guidance as needed. Where leadership is required in security or economic affairs, we accept our responsibilities; but we never will attempt to dominate or dictate in those endeavors.

A second precept of U.S. policy in this region is our conviction that peace and stability are best facilitated by addressing specific sources of regional tension. While the Asian-Pacific region has been, in recent years, relatively free of conflict, its remarkable advances are shadowed by Vietnam's military occupation of Cambodia and by the ever-present risk of hostilities on the Korean Peninsula. We continue to urge that these dangerous situations be addressed through negotiations by the parties directly involved.

Turning to a third area: the United States does support, as a matter of principle, the establishment of democratic institutions and processes in East Asia

and the Pacific. We promote the democratic system not purely on moral or ideological grounds but, quite simply, because experience proves that this is the best prescription for political stability and economic strength among developing nations. As part of this concept, I include the notion of modern constitutionalism, the rule of law, popular electoral processes, and the free enterprise system. Obviously, the United States has particular interest in seeing the steady evolution of democratic reforms and responsive governments among those nations with whom we have normal and extensive relations.

Fourth, we sincerely believe that our common prosperity can be maintained only through the expansion of trade and investment. Our policy is one of encouraging growth through trade, along with basic reliance on the market forces of competition and free enterprise. Both protectionism and excessive state regulation thwart the common purposes for which we and the Asian-Pacific nations are striving. That is the message which this Administration has sought to communicate, and it is at the core of our economic philosophy and trading practice in the region. We do believe the nations of this region are now moving in the direction of constructive long-range solutions to our trading problems. But it will take some time yet for the natural forces of the marketplace to rectify some imbalances. In the meantime, we must shun the temptation to clutch at quick-fix solutions which only increase our problems in the long run.

Bureau of Public Affairs
United States Department of State
Washington, D.C. 20520

OFFICIAL BUSINESS

PENALTY FOR PRIVATE USE \$300

If address is incorrect
please indicate change
do not cover or destroy
this address label. Mail
change of address to
JAOAP, Rm 5B15A

BULK RATE
POSTAGE & FEES PAID
U.S. Department of State
Permit No. G-130

001105007030